

Land Acquisition in India and Infrastructure Delays

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Land Acquisition Latest News

- Land acquisition has been flagged as the single largest cause of delays in major infrastructure projects reviewed under the **PRAGATI mechanism**.

Understanding Land Acquisition in India

- Land acquisition is the process through which the government acquires private land for public purposes such as infrastructure development, industrial corridors, housing, defence projects, and social infrastructure.
- In India, this process has long been sensitive due to tensions between development objectives and the rights of landowners, farmers, and local communities.
- Given India's ambitious infrastructure and industrial growth plans, land acquisition plays a foundational role in enabling economic expansion.
- However, it also remains one of the most contested areas of public policy.

Legal Framework Governing Land Acquisition

- The present legal framework is governed by the **Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 (LARR Act)**.
- This law replaced the colonial-era Land Acquisition Act of 1894 and aimed to make the acquisition process more humane, transparent, and participatory.
- Key features of the Act include mandatory:
 - Social Impact Assessment (SIA),
 - Consent requirements for private and public-private partnership projects,
 - Enhanced compensation linked to market value,
 - Comprehensive rehabilitation and
 - Resettlement provisions for affected families

Compensation and Rehabilitation Provisions

- Under the LARR Act, compensation is calculated based on market value, with higher multipliers for rural areas and additional solatium.
- The law also mandates rehabilitation measures such as housing, employment or annuity options, and provision of basic infrastructure for displaced families.
- These provisions were designed to address historical grievances where communities were displaced without adequate compensation or livelihood support.

Procedural and Administrative Challenges

- Despite its progressive intent, land acquisition remains a slow and complex process.
- SIAs often take considerable time, consent requirements are difficult to fulfil in areas with fragmented landholdings, and valuation disputes frequently lead to litigation.
- Additionally, coordination challenges between Central ministries, State governments, and district administrations further delay acquisition timelines.
- Since land is a State subject, differences in administrative capacity and political priorities across States add to implementation difficulties.

Impact on Infrastructure Projects

- Large infrastructure projects such as highways, railways, power plants, industrial parks, and urban transport systems are especially vulnerable to land-related delays.
- In many cases, projects face cost overruns and time overruns due to unresolved land disputes, even after financial and technical approvals have been secured.
- As a result, land acquisition has emerged as a structural bottleneck in India's infrastructure-led growth strategy.

News Summary

- Recent reviews of major infrastructure projects under the **PRAGATI (Pro-Active Governance and Timely Implementation)** mechanism have once again highlighted land acquisition as the single largest cause of

project delays.

- Official assessments indicate that nearly **35% of unresolved issues** in large infrastructure projects are directly related to land acquisition, making it the most significant impediment compared to forest clearances, environmental approvals, utility shifting, or law-and-order issues.

Government's Current Policy Position

- Despite the scale of the problem, the government has clarified that there is **no proposal to amend or dilute the existing land acquisition law**.
- Instead, the focus is on improving administrative coordination, timely escalation of disputes, and strengthening Centre-State cooperation.
- Through PRAGATI, unresolved issues are escalated from line ministries to higher institutional levels, enabling faster decision-making and accountability.

Role of Monitoring and Coordination Mechanisms

- The PRAGATI platform has reviewed over 3,300 projects involving investments worth approximately Rs. 85 lakh crore.
- Many long-pending projects, some dating back to the 1990s, have been completed due to sustained monitoring and inter-governmental coordination.
- Although precise fiscal savings have not been quantified, faster project execution has helped unlock stalled investments and reduce economic losses caused by delays.

Way Forward

- The recent reviews reinforce that while strong legal safeguards for landowners are necessary, **efficient administration, early stakeholder engagement, and cooperative federalism** are equally critical.
- Rather than legislative changes, the emphasis is on better implementation, dispute resolution, and institutional coordination.
- For India to meet its infrastructure and development goals, land acquisition reforms must focus on execution efficiency while maintaining the balance between development needs and social justice.

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